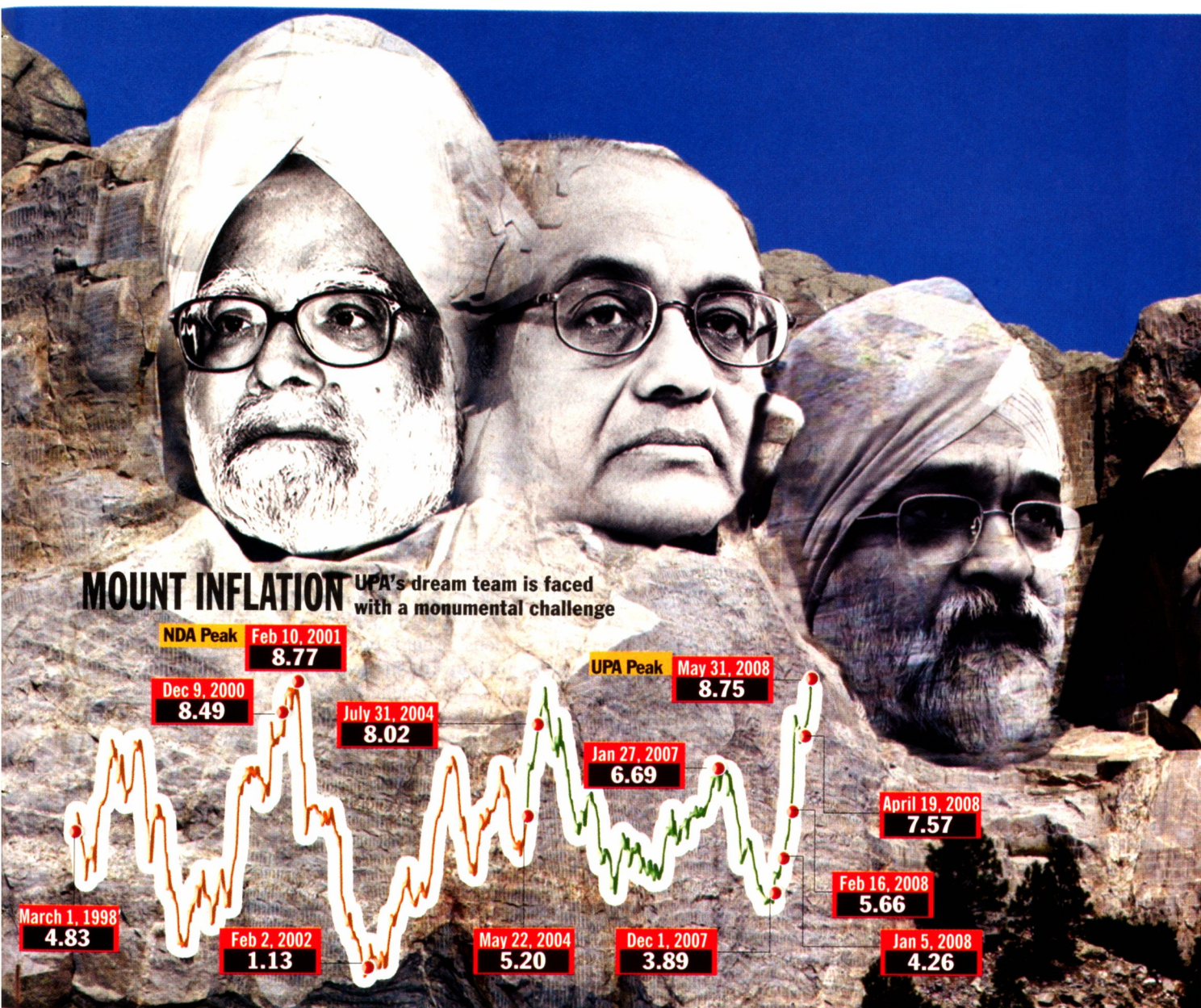




Photomaging SAURABH SINGH Graphic by PRASHANT CHAUDHARY

the demonstration effect, stepped up pressure.

Although GDP growth was 9-plus per cent, the rural economy accounting for over 700 million people was growing at less than 3 per cent. Agriculture and allied services account for less than a fifth of the economy and support two thirds of the populace. And this wonky equation, is what prompted the phraseology "inclusive growth". UPA—propelled by its obligation to the mandate or fears of a repeat of what happened to NDA—unveiled the biggest ever post-Independence expansion of government expenditure. Big Government was its mantra to lift those trapped in abject poverty. The theory of state intervention has been questioned since Keynes but it is still the politician's chosen remedy. So while the Left prevented any reforms in the public sector, stalled disinvestment and pushed for pouring good money

after bad, the Congress revelled in the mythology of "expenditure equals poverty alleviation".

The intention is unquestionable but the results of the spending are just as invisible. NREGS was expanded from 200 districts to cover all and the Government this year has already spent Rs 12,000 crore of the Rs 16,000 crore budget, even though the issues of fake registrations and leakage pointed out by the Comptroller and Auditor General are yet to be addressed. The food subsidy bill is set to double to Rs 60,000 crore but no solutions have been devised to address the diversion and theft of over 60 per cent of grain meant for beneficiaries.

Regardless, UPA is estimated to be pumping over Rs 2,00,000 crore a year into the rural economy including investments in social sectors like health and education. Just on rural development, UPA has spent